

CBSE Class 12 Accountancy

Mock Test: Death of a Partner

Instructions:

- Total Marks: 50 | Time Allowed: 1 Hour
- Section A: 10 MCQs (1 mark each)
- Section B: 4 Short Answer Questions (10 marks total)
- Section C: 2 Long Answer Questions (10 marks total)
- Section D: 2 Practical Problems (20 marks total)

Section A: Multiple Choice Questions

- 1. On the death of a partner, the executor's account is opened to:** [1]
a) Record profits | b) Settle dues | c) Adjust goodwill | d) Revalue assets
- 2. Share of profits/losses up to death is credited/debited to:** [1]
a) Deceased Cap A/c | b) Executor's A/c | c) Remaining Cap A/c | d) P&L A/c
- 3. Interest on capital is provided to the deceased partner up to:** [1]
a) End of year | b) Date of death | c) Date of settlement | d) None
- 4. Goodwill on death is adjusted by:** [1]
a) Crediting Executor & Debiting Remaining | b) Debiting Executor | c) New Ratio | d) Old Ratio
- 5. Gaining ratio on death is used for:** [1]
a) Reserves | b) Goodwill & Revaluation | c) Interest on Drawings | d) Balance Sheet
- 6. Which account is prepared to record settlement with executor?** [1]
a) Revaluation | b) Executor's Account | c) Goodwill | d) Capital
- 7. Profit on upward revaluation is shared by:** [1]
a) Deceased only | b) Remaining in gaining | c) All in old ratio | d) Executor only
- 8. Deceased partner's share of accumulated profits goes to:** [1]
a) New ratio | b) Old ratio | c) Executor's account | d) Goodwill account

- 9. In case of death, Balance Sheet is prepared after:** [1]
- a) Revaluation | b) Goodwill | c) All adjustments | d) None
- 10. If new ratio is 2:3, the gaining ratio is:** [1]
- a) 2:3 | b) 3:2 | c) 1:1 | d) Depends on old ratio

Section B: Short Answer Questions

- 11. Define 'executor's account' and explain its purpose.** [3]
- 12. Treatment of interest on capital and drawings on death?** [3]
- 13. Explain adjustment of goodwill on death.** [2]
- 14. Differentiate between death and retirement.** [2]

Section C: Long Answer Questions

- 15. Describe accounting treatment (steps/accounts).** [5]
- 16. Calculation/treatment of share of profits up to death.** [5]

Section D: Practical Problems

17. P, Q, R ratio 3:2:1. R dies 31 Dec. Goodwill Rs. 60,000. Gaining 3:2. Journal Entries. [5]

18. Preparation of Executor's Account [15]

A, B, C Balance Sheet (31st March 2023):

Liabilities	Amount	Assets	Amount
A's Capital	80,000	Fixed Assets	1,50,000
B's Capital	60,000	Stock	40,000
C's Capital	40,000	Debtors	30,000
Creditors	50,000	Cash	10,000
Total	2,30,000	Total	2,30,000

C dies 30 Sept 2023. Revaluation: FA Rs. 1,60,000, Stock Rs. 35,000, Creditors Rs. 55,000. Goodwill Rs. 80,000. IOC 10% p.a. Profit share Rs. 5,000. Executor paid Rs. 50,000. Prepare Revaluation, Capital, Executor A/cs and Balance Sheet.

Solutions Key

Section A: 1(b), 2(b), 3(b), 4(a), 5(b), 6(b), 7(c), 8(c), 9(c), 10(a)

Q17: R's share = $1/6$ of 60,000 = 10,000. Entry: P's Cap Dr 6,000, Q's Cap Dr 4,000 to R's Executor A/c 10,000.

Q18: Revaluation: FA Gain 10,000 - Stock Loss 5,000 - Creditors Loss 5,000 = Rs. 0.
C's Interest on Cap: $40k * 10\% * 6/12 = 2,000$. Profit Share: 5,000. Total credited to Executor.

Death Of Partner Mock Test By Luffykidlaw
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